TRIBHUVAN UNIVERSITY — FACULTY OF MANAGEMENT

BBA Eighth Semester — MGT 240: Strategic Management (48 LHs)
COMPREHENSIVE EXAM REVISION NOTES, FIGURES, EXAMPLES & QUESTION BANK

Unit / Section	Official TU Syllabus Topics Covered in Full Detail	Lecture Hours
Unit 1: Introduction	Concept, features & importance of strategy & strategic management; 4 phases of evolution; elements & 5-step process model (with Figure 1.1); need for strategy; 3 levels of strategy (with Figure 1.2 & table); strategic planning; Vision (Collins & Porras), Mission (Fred David's 9 components), SMART Objectives; role of information.	9 LHs
Unit 2: Environment & Strategy Analysis	Internal & external environment layers; PESTEL analysis table; Porter's Five Forces Model (with Figure 2.1); ETOP matrix example; Scenario planning; Competitor & Strategic Group analysis; Hyper-competition; RBV, Threshold vs. Strategic Resources & VRIO table; Porter's Value Chain Analysis (with Figure 2.2); Historical, Industry Norms & Benchmarking; SAP table; SWOT/TOWS matrix.	10 LHs
Unit 3: Strategy Formulation	Concept & importance; Corporate Grand Strategies (Stability, Ansoff's 4 Growth Directions [Figure 3.1], Vertical/Horizontal Integration, Related/Unrelated Diversification, Retrenchment [Turnaround, Divestment, Liquidation], Combination); Business-Level Strategies (Porter's Generic Strategies & Bowman's 8-Position Strategic Clock [Figure 3.2]); Functional Strategies (Marketing, Finance, Operations, HRM, R&D; table); Methods (Internal, M&A;, Alliances); Portfolio Matrices (BCG 2x2, GE 3x3, Hofer's 5x3 [Figures 3.3–3.5]); SFA Criteria.	12 LHs
Unit 4: Strategy Implementation	Concept & Formulation vs. Implementation table; 7 Organizational Structures (Simple, Functional, Multidivisional, SBU [Figure 4.1], Matrix [Figure 4.2], Holding Company, Project/Team/Network); process & requirements (structure, resources, management systems); Strategic Leadership roles & capabilities.	10 LHs
Unit 5: Strategic Evaluation & Control	Concept; Strategic vs. Operational Control table; 4 Types of Strategic Control (Premise, Surveillance, Special Alert, Implementation); 6-step process; Strategic Audit; Strategic Information System (SIS); guidelines for effective control.	7 LHs
Section 6: Exam Question Bank & Case Playbook	Top 25 Rapid-Fire Group A (2-Mark) Q&As; + Group B/C Analytical Writing Structure + Step-by-Step Group D (20-Mark) Case Study Solving Playbook.	Exam Bonus

UNIT 1: INTRODUCTION TO STRATEGIC MANAGEMENT (9 Lecture Hours)

1.1 Concept, Definition & Characteristics of Strategy and Strategic Decisions

1. Etymology and Meaning of Strategy:

The word **'Strategy'** is derived from the ancient Greek word *'Strategos'* (*Stratos* = army + *Ago* = to lead), which originally meant the art and science of military generalship—deploying troops and resources to defeat an enemy. In modern business management, strategy is the **unified, comprehensive, and integrated long-term master plan** designed by top management that relates the strategic advantages of the firm to the challenges of the external environment in order to achieve organizational objectives and sustain a competitive advantage over rivals.

2. Scholarly Definitions to Quote in Exams:

• **Alfred D. Chandler (1962):** *"Strategy is the determination of the basic long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of resources necessary for carrying out these*

goals."

• **Michael E. Porter (1996):** *"Strategy is about being different. It means deliberately choosing a different set of activities to deliver a unique mix of value."*

• **Gerry Johnson, Kevan Scholes & Richard Whittington:** *"Strategy is the direction and scope of an organization over the long term, which achieves advantage in a changing environment through its configuration of resources and competences with the aim of fulfilling stakeholder expectations."*

3. Eight Key Characteristics (Features) of Strategic Decisions (Short/Brief Question Favourite):

• **1. Long-Term Horizon & Future Orientation:** Strategic decisions focus on a 3-to-10+ year future timeframe rather than day-to-day routine operations.

• **2. Top-Management Involvement:** Formulated by the apex authority—the Board of Directors, Chief Executive Officer (CEO), and senior executive team.

• **3. Holistic / Organization-Wide Scope:** Affects the entire enterprise or a complete Strategic Business Unit (SBU), cutting across all functional departments.

• **4. Substantial Resource Commitment:** Requires major commitments of financial capital, physical plant, technology, and human talent that are costly and difficult to reverse once deployed.

• **5. External Environment Matching (Open-System Fit):** Aligns the organization's internal strengths and capabilities with external opportunities and threats in a turbulent environment.

• **6. Creation of Sustainable Competitive Advantage:** Aims to position the firm uniquely so competitors cannot easily copy its value proposition.

• **7. High Uncertainty, Complexity, and Non-Routine Nature:** Unlike programmable operational decisions, strategic decisions are novel, unstructured, and involve high risk.

• **8. Stakeholder Values and Expectations Driven:** Reflects the priorities and power of owners, lenders, customers, employees, regulators, and society.

PRACTICAL / NEPAL CORPORATE EXAMPLE:

• **Nepalese Example (Chaudhary Group — Wai Wai):** When Chaudhary Group decided to expand Wai Wai noodles from a domestic Nepalese snack into an international FMCG brand with manufacturing plants in India, Serbia, Bangladesh, and Kazakhstan, that was a **strategic decision** involving long-term vision, massive capital commitment, and global market development.

• **Banking Example (Nabil Bank Acquiring Nepal Bangladesh Bank):** Nabil Bank's decision to acquire Nepal Bangladesh Bank in 2022 was a corporate strategic decision that reshaped its capital base, branch network, and market leadership in Nepal's commercial banking sector.

1.2 Concept, Elements, Need & Importance of Strategic Management

1. Concept of Strategic Management:

Strategic management is that set of managerial decisions and actions that determines the long-run performance and survival of a corporation. It is a continuous, iterative process comprising four core elements:

• **Element 1 — Environmental Scanning (Analysis):** Monitoring, evaluating, and disseminating information from the external (PESTEL & Industry) and internal (Resources & Value Chain) environments.

• **Element 2 — Strategy Formulation (Strategic Planning):** Crafting Vision, Mission, Objectives, and Corporate, Business, and Functional strategies.

• **Element 3 — Strategy Implementation (Execution):** Putting strategies into action through organizational structure, budgets/resource allocation, functional policies, leadership, and corporate culture.

• **Element 4 — Strategic Evaluation and Control:** Monitoring actual performance against planned targets, auditing strategic premises, and taking corrective action.

2. Need and Importance of Strategic Management (Why Organizations Need It):

• **1. Proactive Rather Than Reactive Posture:** Enables organizations to anticipate and shape future environmental changes rather than being passive victims of market shocks.

• **2. Sense of Direction and Goal Alignment:** Provides a clear roadmap (Vision -> Mission -> Objectives) so all departments work toward common goals rather than conflicting departmental agendas.

• **3. Building Sustainable Competitive Advantage:** Identifies and nurtures rare, valuable core competencies that differentiate the firm from competitors.

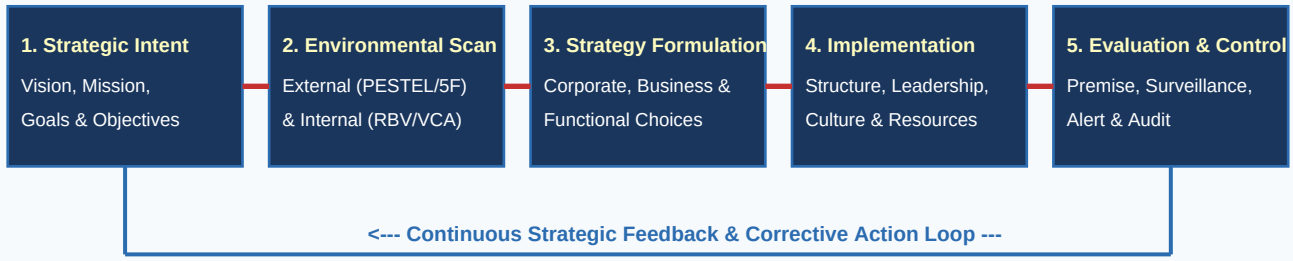
• **4. Optimal Allocation of Scarce Resources:** Prevents waste by channeling capital, talent, and managerial attention toward high-growth, high-return opportunities ("Stars") and away from declining operations.
• **5. Risk Mitigation in a Turbulent Environment:** Helps navigate political instability, regulatory shifts (e.g., NRB directives), technological disruption (AI, fintech), and hyper-competition.
• **6. Improved Organizational Coordination and Communication:** Participation of line managers in strategic planning fosters commitment, reduces resistance to change, and improves cross-functional teamwork.
• **7. Superior Long-Term Financial & Non-Financial Performance:** Empirical studies confirm that strategically managed firms consistently outperform non-planning firms in profitability (ROE, ROA), market share, and longevity.

1.3 Evolution of Strategic Management (Four Historical Phases)

Phase & Era	Dominant Theme / Focus	Key Tools & Concepts	Main Limitation That Led to Next Phase
Phase 1: 1950s Basic Financial Planning	Internal operational control & meeting annual budget.	1-year functional budgets (production, sales, cash).	Too short-sighted (1 year); blind to long-term growth.
Phase 2: 1960s Forecast-Based Planning	More effective planning for multi-year growth (Long-Range Planning).	3-to-5 year trend extrapolation, capital budgeting, environmental forecasting.	Assumed the future would simply repeat past linear trends; shattered by 1970s oil shocks.
Phase 3: 1970s–1980s Externally Oriented Strategic Planning	Thinking strategically; industry positioning & defeating competitors.	Porter's 5 Forces, Generic Strategies, Value Chain, SBU concept, BCG & GE Portfolio Matrices.	Top-down 'ivory tower' planning; neglected implementation, culture, and internal resources.
Phase 4: 1990s–Present Strategic Management & Dynamic Capabilities	Creating the future; holistic integration of formulation, implementation & agility.	Resource-Based View (RBV/VRIO), Core Competence (Prahalad & Hamel), Balanced Scorecard, Blue Ocean, Hyper-competition.	Requires continuous learning, digital agility, and ethical governance.

1.4 The Strategic Management Process (Step-by-Step Model & Diagram)

FIGURE 1.1: THE COMPREHENSIVE STRATEGIC MANAGEMENT PROCESS MODEL



Detailed Explanation of Each Step in the Strategic Management Process (10-Mark / 5-Mark Question):
• **Step 1: Establishing Strategic Intent (Vision, Mission, Goals & Objectives):**
Top management defines the aspirational long-term dream (Vision), the current business scope and purpose (Mission), and specific, quantifiable performance milestones (SMART Objectives).
• **Step 2: Environmental Scanning & Strategic Analysis (External + Internal):**
- *External Analysis:* Scanning the Macro Environment (PESTEL) and Industry Environment (Porter's Five Forces, Strategic Groups, Competitor Analysis) to prepare an **Environmental Threat and Opportunity Profile (ETOP)**.
- *Internal Analysis:* Auditing organizational resources (Threshold vs. VRIO Strategic Resources), Value Chain Activities, and Financial/Benchmark ratios to prepare a **Strategic Advantage Profile (SAP)**.

- *SWOT Synthesis:* Matching external Opportunities & Threats with internal Strengths & Weaknesses.

• **Step 3: Strategy Formulation & Strategic Choice:**

- Generating strategic alternatives at three levels: **Corporate Level** (Stability, Growth, Retrenchment, Combination), **Business/SBU Level** (Cost Leadership, Differentiation, Focus), and **Functional Level** (Marketing, Finance, Operations, HR, R&D;).

- Evaluating portfolio options using **BCG, GE 9-Cell, and Hofer's 15-Cell Matrices** and selecting the optimal strategy using Johnson & Scholes's **SFA Criteria (Suitability, Feasibility, Acceptability)**.

• **Step 4: Strategy Implementation (Action & Execution Stage):**

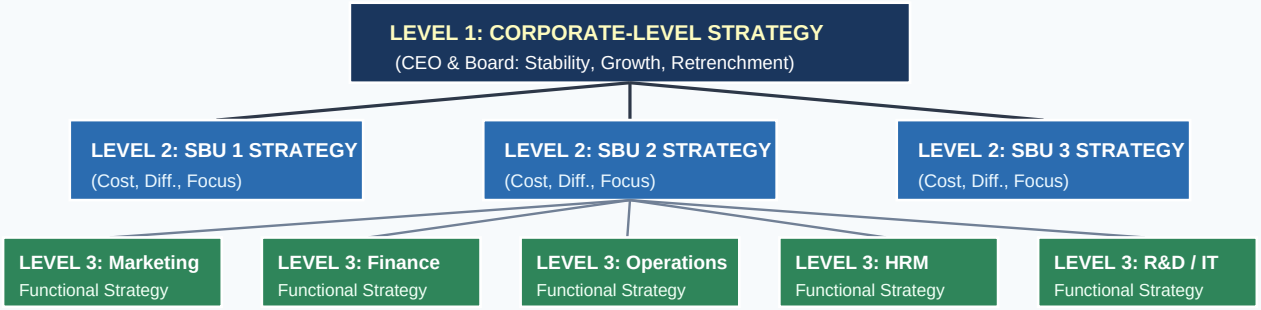
Translating the chosen strategy into action by: (i) designing an appropriate **Organizational Structure** (Functional, Divisional, SBU, Matrix), (ii) **Allocating Resources** via budgets, (iii) instituting **Functional Policies & SOPs**, and (iv) providing **Strategic Leadership** and aligning **Corporate Culture**.

• **Step 5: Strategic Evaluation and Control (Feedback Loop):**

Continuously monitoring underlying assumptions and actual results through **Premise Control, Strategic Surveillance, Special Alert Control, Implementation Control, and Strategic Audits**, taking corrective action whenever deviations occur.

1.5 Levels of Strategy in an Organization (Corporate, Business & Functional)

FIGURE 1.2: HIERARCHY / PYRAMID OF THREE LEVELS OF STRATEGY



Basis of Comparison	1. Corporate-Level Strategy	2. Business-Level (SBU) Strategy	3. Functional-Level (Operational) Strategy
1. Core Question	**'Where to compete?'** (What industries/businesses should the corporation be in?)	**'How to compete?'** (How do we win customers and beat rivals in this specific industry?)	**'How to execute?'** (How does each department use its resources to support the SBU?)
2. Formulated By	Board of Directors, CEO, and Corporate Headquarters.	SBU Heads / Divisional Vice Presidents & General Managers.	Functional Department Heads (Marketing, Finance, Production, HR, R&D;).
3. Scope & Focus	Entire multi-business corporation; portfolio synergy and capital allocation across SBUs.	Single Strategic Business Unit (SBU) operating in a distinct product-market.	Specific functional area within an SBU; maximizing resource productivity.
4. Time Horizon & Risk	Long-term (5 to 10+ years); High risk and high strategic impact.	Medium-to-long term (3 to 5 years); Moderate-to-high competitive risk.	Short-term (daily to 1 year); Low, operational-level risk.
5. Major Frameworks	Grand Strategies (Stability, Growth, Retrenchment), Ansoff Matrix, BCG/GE/Hofer Matrices, M&A.;	Porter's Generic Strategies (Cost Leadership, Differentiation, Focus), Bowman's Strategic Clock.	4Ps Marketing Mix, Capital Structure/Dividend Policy, JIT/TQM Operations, HR Training/Rewards.

1.6 Strategic Planning & The Hierarchy of Strategic Intent: Vision, Mission, Objectives & Values

1. Concept & Features of Strategic Planning:
Strategic planning is the formal managerial process of defining an organization's strategy or direction and making decisions on allocating its resources to pursue this strategy. Its features are: (i) systematic and disciplined, (ii) future-oriented, (iii) links internal capabilities with external opportunities, and (iv) cascades from corporate goals down to departmental action plans.

2. Vision Statement ("What do we want to become?"):
• **Concept:** A concise, inspiring, future-oriented declaration of the organization's ultimate long-term aspiration (5 to 20+ years).
• **Components of Vision Statement (Jim Collins & Jerry Porras Framework — Exam Question!):**
1. **Core Ideology (The Enduring Character that Never Changes):**
- *Core Values:* 3 to 5 timeless guiding ethical principles (e.g., Disney's imagination & wholesomeness; 3M's innovation; Tata's integrity).
- *Core Purpose:* The organization's deepest reason for being (why it exists beyond making profits).
2. **Envisioned Future (What the Organization Aspires to Achieve and Become):**
- *Big, Hairy, Audacious Goal (BHAG):* A bold, clear, 10-to-30-year goal that rallies people (e.g., Ford's early BHAG: "Democratize the automobile").
- *Vivid Description:* A vibrant, engaging description of what it will be like to achieve the BHAG.

3. Mission Statement ("What is our business and whom do we serve?"):
• **Concept:** An enduring statement of purpose that distinguishes one organization from other similar enterprises and defines the present scope of its operations in product and market terms.
• **Nine Essential Components of a Complete Mission Statement (Fred R. David Framework):**
1. **Customers:** Who are the firm's customers?
2. **Products or Services:** What are the firm's major products or services?
3. **Markets:** Geographically, where does the firm compete?
4. **Technology:** Is the firm technologically current?
5. **Concern for Survival, Growth, and Profitability:** Is the firm committed to financial soundness?
6. **Philosophy (Company Values):** What are the basic beliefs, values, aspirations, and ethical priorities of the firm?
7. **Self-Concept (Distinctive Competence):** What is the firm's major competitive strength?
8. **Concern for Public Image:** Is the firm responsive to social, community, and environmental concerns?
9. **Concern for Employees:** Are employees a valuable asset of the firm?

Basis of Difference	Vision Statement	Mission Statement	Objectives & Goals
1. Core Question	*'Where do we want to be in the future?'*	*'What is our business today and whom do we serve?'*	*'How much of what will be accomplished by when?'*
2. Time Orientation	**Future-oriented** (5 to 20+ years ahead).	**Present-oriented** leading into the future.	**Specific target dates** (1-year annual & 3–5 year long-term).
3. Specificity	Broad, aspirational, and inspirational.	Defines business scope, products, markets, and values.	Concrete, quantitative, and measurable (**SMART**).
4. Example (Banking)	*'To be the most trusted and digitally advanced bank in South Asia.'*	*'To provide innovative, accessible banking and financial solutions to Nepalese households and businesses with integrity.'*	*'Increase ROE from 14% to 18% and grow digital mobile banking users by 25% by fiscal year 2027.'*

4. Role of Information in Strategic Management:
• **In Environmental Scanning:** Market intelligence, macroeconomic databases, and customer analytics detect early signals of opportunities and threats.
• **In Strategy Formulation:** Historical financial data, cost-driver information, and scenario models allow managers to evaluate strategic options objectively.
• **In Strategy Implementation:** Enterprise Resource Planning (ERP) and Point-of-Sale (POS) systems coordinate inventory, production, and sales across branches.

• **In Evaluation & Control:** Executive Information Systems (EIS) and Balanced Scorecard dashboards track KPI variances in real time.

EXAM MEMORY TIP / MNEMONIC: *Use 'C-P-M-T-S-P-S-P-E' to remember Fred David's 9 Mission Components: Customers, Products, Markets, Technology, Survival/Growth/Profit, Philosophy, Self-concept, Public image, and Employees!*

UNIT 2: ENVIRONMENT AND STRATEGY ANALYSIS (10 Lecture Hours)

2.1 Concept of Business Environment: Internal vs. External (Micro/Task & Macro/General)

1. Concept of Environment in Strategic Management:

No business operates in a vacuum. The business environment consists of the sum total of all internal and external factors, forces, institutions, and conditions that affect an organization's survival, operations, strategic decisions, and performance.

• **Characteristics of Business Environment:** (1) **Complexity** (many interconnected factors), (2) **Dynamism** (constantly changing), (3) **Uncertainty** (hard to predict), (4) **Multi-faceted** (perceived differently by different firms—one firm's threat is another's opportunity), and (5) **Far-reaching Impact**.

2. Three Layers of the Business Environment:

• **Layer 1 — Internal Environment (Controllable):** Factors inside the organization: Tangible & Intangible Resources, Capabilities, Core Competencies, Value Chain Activities, Organizational Structure, Corporate Culture, and Leadership. Analyzed to identify **Strengths (S)** and **Weaknesses (W)** -> Summarized in **SAP**.

• **Layer 2 — External Task / Operating / Industry Environment (Partially Influenced):** Immediate external actors that directly interact with the firm: Customers, Suppliers, Direct Competitors, Potential Entrants, Substitute Producers, Creditors, and Labor Unions. Analyzed via **Porter's Five Forces & Competitor Analysis**.

• **Layer 3 — External Macro / General / Remote Environment (Uncontrollable):** Broad societal forces affecting all industries: **PESTEL** (Political, Economic, Socio-Cultural, Technological, Environmental/Ecological, Legal). Layer 2 + Layer 3 are analyzed to identify **Opportunities (O)** and **Threats (T)** -> Summarized in **ETOP**.

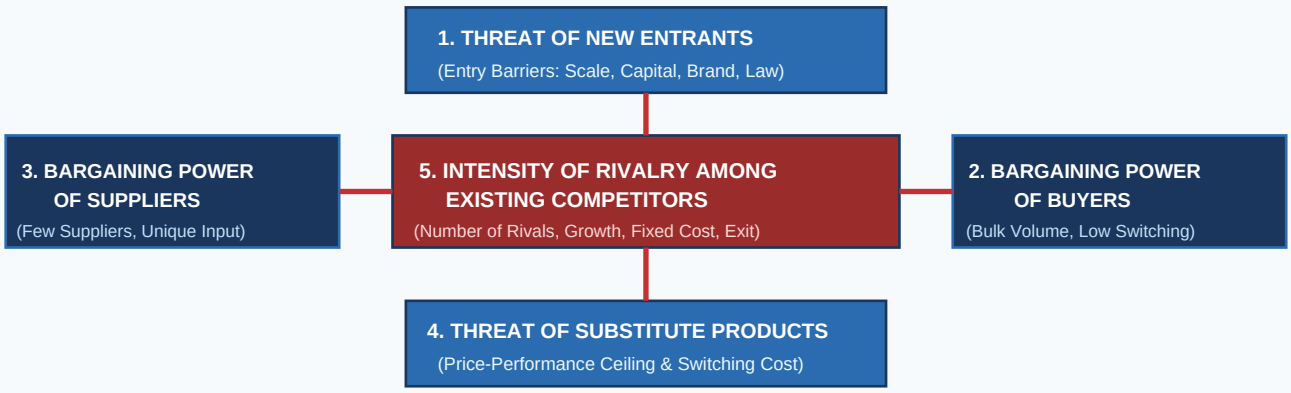
2.2 Techniques of External Environment Analysis: PESTEL, Porter's 5 Forces, ETOP, Scenario Planning & Competitor Analysis

A. PESTEL Analysis (Macro-Environmental Scanning Framework)

PESTEL Dimension	Key Variables to Scan	Nepalese Business Context Examples
1. Political (P)	Government stability, coalition changes, fiscal/tax policy, foreign trade tariffs, FDI policy, public infrastructure spending.	Federal/provincial taxation rules, import restrictions/LC margin rules, hydropower PPA policies, Belt & Road / MCC projects.
2. Economic (E)	GDP growth rate, inflation (CPI), interest rates, foreign exchange reserves, remittance inflows, per capita income, liquidity.	NRB monetary policy & interest rate corridors, remittance-fueled consumption, liquidity fluctuations in Nepalese banks.
3. Socio-Cultural (S)	Population growth, age distribution, youth migration, urbanization, education levels, changing lifestyles, women in workforce.	Youth out-migration affecting labor supply and increasing demand for online services, convenience foods, and remittance fintech.
4. Technological (T)	R&D; spending, automation, e-commerce, digital payments, Artificial Intelligence (AI), cloud computing, rate of obsolescence.	Explosion of Fonepay QR, ConnectIPS, mobile banking, digital wallets (eSewa/Khalti), and EV adoption in Nepal.
5. Environmental / Ecological (E)	Climate change, carbon footprint, renewable energy transition, waste/pollution laws, natural disaster vulnerability.	High customs duty incentives on Electric Vehicles (EVs) vs. ICE cars in Nepal; glacial/monsoon flood risks to hydro projects.
6. Legal (L)	Companies Act, Labor & Social Security Act, Consumer Protection Act, Competition Law, Intellectual Property, sector regulators.	Insurance Act 2079 (NIA capital rules), Contribution-Based Social Security Fund (SSF 31% mandate), BAFIA, SEBON rules.

B. Michael Porter's Five Forces Model of Industry Analysis (10-Mark Exam Classic)

FIGURE 2.1: MICHAEL PORTER'S FIVE FORCES MODEL OF INDUSTRY ANALYSIS



In-Depth Explanation of Porter's Five Forces:

• **Force 1 — Threat of New Entrants:** New entrants bring extra capacity and fight for market share, pushing down prices and margins. The threat is **LOW** when **Barriers to Entry** are high:

1. *Economies of Scale:* Incumbents produce at large volume with low unit cost, forcing newcomers to either enter huge (risky) or suffer a cost disadvantage.
2. *High Capital Requirements:* Billions needed to enter banking (Rs 8B paid-up capital in Nepal), cement, telecom, or airlines.
3. *Product Differentiation & Brand Loyalty:* Strong incumbent brands (e.g., Wai Wai, Surya, Ncell/NTC) require massive advertising to overcome.
4. *Customer Switching Costs:* High one-time costs (retraining, new software/equipment) of switching from an existing vendor.
5. *Access to Distribution Channels:* Incumbents have tied up wholesale and retail dealers.
6. *Cost Advantages Independent of Scale:* Proprietary patents, favorable raw material locations (e.g., limestone mines), and learning/experience curves.
7. *Government Policy & Licensing:* Strict regulatory moratoriums on new bank or telecom licenses.

• **Force 2 — Bargaining Power of Buyers (Customers):** Buyers compete with the industry by forcing down prices and demanding higher quality or longer credit. Buyer power is **HIGH** when: (i) a few buyers purchase a large share of industry output, (ii) products are standardized/undifferentiated commodities, (iii) switching costs are low, (iv) buyers earn low profits (making them price-sensitive), and (v) buyers pose a credible threat of **backward vertical integration**.

• **Force 3 — Bargaining Power of Suppliers:** Suppliers squeeze industry profitability by raising input prices or reducing quality. Supplier power is **HIGH** when: (i) the supplier industry is dominated by a few firms (oligopoly), (ii) there are no close substitutes for the supplied input, (iii) the focal industry is not an important customer of the supplier, (iv) supplier's product is an essential input with high switching costs, and (v) suppliers pose a credible threat of **forward vertical integration**.

• **Force 4 — Threat of Substitute Products or Services:** Substitutes come from outside the industry but fulfill the same basic customer need (e.g., tea vs. coffee; domestic airlines vs. night-bus/highway travel; eye glasses vs. contact lenses/LASIK). Substitutes place a hard ceiling on industry prices. The threat is **HIGH** when substitutes offer a superior price-performance trade-off and buyer switching costs are low.

• **Force 5 — Intensity of Rivalry Among Existing Competitors:** Rivalry is **FIERCE** when: (i) competitors are numerous or roughly equal in size and power, (ii) industry growth is slow or stagnant, (iii) fixed costs or storage/perishability costs are high, (iv) product differentiation and switching costs are low, (v) capacity must be added in large increments, and (vi) **Exit Barriers are high** (specialized assets with low liquidation value, high labor redundancy costs, emotional/strategic barriers).

C. Environmental Threat and Opportunity Profile (ETOP), Scenario Planning, Hyper-Competition & Strategic Groups

1. Environmental Threat and Opportunity Profile (ETOP):

Proposed by Glueck, ETOP is a structured diagnostic table that summarizes the findings of external environmental scanning. Preparation steps: (1) Divide the environment into major sectors (Economic, Market, Technological,

Political/Legal, Social, Supplier), (2) Analyze the impact of trends in each sector using arrows (**Up Arrow [+] = Favorable**, **Down Arrow [-] = Unfavorable**, **Horizontal [0] = Neutral**), and (3) Assess the magnitude of each Opportunity or Threat.

Environmental Sector	Nature of Impact	Impact Analysis & Classification as Opportunity (O) or Threat (T) [Example: Automobile Dealer in Nepal]
1. Economic / Tax Policy	**Favorable (+)**	**Opportunity:** Lower customs & excise duty on Electric Vehicles (EVs) compared to 250%+ tax on petrol cars boosts EV demand.
2. Technological Sector	**Favorable (+)**	**Opportunity:** Rapid expansion of NEA fast-charging stations across highways and longer-range LFP batteries reduce range anxiety.
3. Financial / Credit Sector	**Unfavorable (-)**	**Threat:** Stricter NRB loan-to-value (LTV) caps and high auto-loan interest rates restrict middle-class vehicle financing.
4. Competitive / Market Sector	**Unfavorable (-)**	**Threat:** Entry of over 25 Chinese and Indian EV brands into Kathmandu creates intense price wars and after-sales pressure.

2. Scenario Planning: A disciplined method for imagining possible futures in turbulent environments. Strategists select key external uncertainties (e.g., global oil prices, exchange rates, political stability) and build 3 to 4 internally consistent future scenarios (*Optimistic, Pessimistic, Status-Quo, Disruptive*), formulating a robust core strategy plus contingency triggers for each scenario.
3. Strategic Groups & Mobility Barriers: A **Strategic Group** is a set of firms within an industry that pursue similar strategies along dimensions such as price/quality, geographic coverage, degree of vertical integration, and product-line breadth (e.g., in Nepal's hospitality sector: 5-star international chain hotels [Soaltee, Marriott, Hyatt] form one strategic group, while budget tourist guest houses in Thamel form another). *Mobility barriers* prevent firms from easily jumping from one strategic group to another.
4. Hyper-Competition (Richard D'Aveni): An environment of intense, rapid competitive moves where rivals quickly copy or leapfrog any advantage, so firms must continuously disrupt their own advantages across four arenas: (i) Cost & Quality, (ii) Timing & Know-How, (iii) Strongholds, and (iv) Deep Pockets.

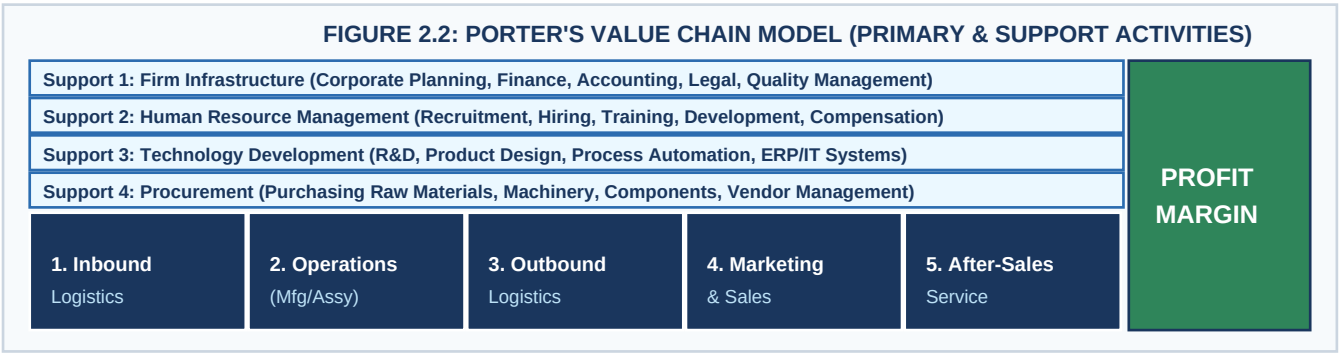
2.3 Techniques of Internal Environment Analysis: RBV (VRIO), Value Chain Analysis, Benchmarking & SAP

A. Resource-Based View (RBV), Threshold vs. Strategic Resources & VRIO Framework

1. Resource-Based View (RBV — Wernerfelt, Barney, Prahalad & Hamel):
RBV takes an **"Inside-Out" perspective**: it argues that superior long-term profitability comes not from merely choosing an attractive industry, but from possessing a unique bundle of internal **Resources, Capabilities, and Core Competencies**.
• **Resources (What the firm HAS):**
- *Tangible Resources:* Physical plants, land, machinery, cash reserves, borrowing capacity, IT hardware.
- *Intangible Resources:* Brand equity, reputation, patents, copyrights, trade secrets, proprietary customer databases, corporate culture.
• **Capabilities (What the firm DOES):** The organizational routines and skills in coordinating resources to perform activities effectively.
• **Core Competencies (Prahalad & Hamel):** Capabilities that serve as a source of competitive advantage over rivals because they (i) provide potential access to a wide variety of markets, (ii) make a significant contribution to perceived customer benefits, and (iii) are difficult for competitors to imitate (e.g., Honda's core competence in small high-efficiency engines; Sony's miniaturization; Apple's user-interface & ecosystem integration).
• **Threshold Resources vs. Strategic (Unique) Resources:**
- **Threshold Resources:** Minimum resources required merely to exist and meet basic customer expectations in an industry (yield competitive parity only).
- **Strategic Resources:** Rare, inimitable resources that satisfy the **VRIO Framework** and yield sustainable competitive advantage:

Is the Resource Valuable (V)?	Is it Rare (R)?	Is it Inimitable (I)?	Is the Firm Organized (O)?	Competitive Implication	Economic Performance
No	—	—	No	**Competitive Disadvantage**	Below-Normal Returns
Yes	No	—	Yes	**Competitive Parity** (Threshold)	Normal (Average) Returns
Yes	Yes	No (Easy to copy)	Yes	**Temporary Competitive Advantage**	Above-Normal (Short-Run)
Yes	**Yes**	**Yes (Costly to copy)**	**Yes**	**Sustainable Competitive Advantage**	**Sustained Above-Normal Returns**

B. Michael Porter's Value Chain Analysis (VCA) — Diagram & 5-Step Process



1. Classification of Value Chain Activities:

• Five Primary Activities (Directly involved in physical creation, sale, transfer, and after-sales service of the product):

1. *Inbound Logistics:* Receiving, warehousing, inventory control, and material handling of raw inputs from suppliers.
2. *Operations:* Machining, assembling, packaging, testing, and equipment maintenance that transform inputs into finished products.
3. *Outbound Logistics:* Finished goods warehousing, order processing, fleet scheduling, and physical delivery to buyers/dealers.
4. *Marketing and Sales:* Advertising, promotion, sales force management, pricing, channel selection, and brand building.
5. *After-Sales Service:* Installation, customer training, warranty repair, spare parts supply, and complaint handling.

• Four Support Activities (Sustain and enable all five primary activities):

1. *Firm Infrastructure:* General management, strategic planning, finance, accounting, legal, quality assurance, and corporate governance.
2. *Human Resource Management:* Recruiting, hiring, training, developing, appraising, and compensating personnel across the firm.
3. *Technology Development:* R&D;, product design, process engineering, automation, and ERP/telecommunications software.
4. *Procurement:* Purchasing raw materials, machinery, laboratory equipment, office supplies, and buildings.

2. Five-Step Process of Conducting Value Chain Analysis:

• Step 1: Segregate the Firm's Operations into Primary and Support Activities.

• Step 2: Allocate Costs and Identify Structural Cost Drivers (economies of scale, learning curve, capacity utilization) for each activity.

• Step 3: Identify Value/Differentiation Drivers (activities that create unique customer satisfaction, quality, or speed).

• Step 4: Evaluate Internal and External Linkages (how optimizing one activity—like zero-defect Procurement—reduces rework costs in Operations and Warranty Service).

• **Step 5: Benchmark Against Rivals and Reconfigure/Outsource** non-core activities to achieve either Cost Leadership or Differentiation.

C. Comparative Analysis (Historical, Industry Norms, Benchmarking), Financial Analysis, SAP & SWOT/TOWS Matrix

1. Three Methods of Comparative Analysis:

• **(i) Historical Comparison:** Comparing the firm's current performance (margins, market share, productivity) with its own past years to spot trends.

• **(ii) Industry Standards (Norms):** Comparing ratios against the average of the industry.

• **(iii) Benchmarking:** Systematically comparing the firm's processes and performance metrics against the world's or industry's **"Best-in-Class"** leaders (whether competitors or non-competitors) to adopt best practices.

2. Strategic Advantage Profile (SAP) & SWOT / TOWS Matrix:

• **SAP:** A structured table summarizing the firm's internal functional strengths (+) and weaknesses (-) across Marketing, Finance, Operations, HR, R&D;, and General Management.

• **SWOT / TOWS Matrix (Heinz Weihrich):** Pairs Internal Strengths (S) & Weaknesses (W) from SAP with External Opportunities (O) & Threats (T) from ETOP to formulate four strategic combinations:

- **1. SO Strategies (Maxi-Maxi):** Use internal Strengths to take advantage of external Opportunities (Aggressive Growth).
- **2. WO Strategies (Mini-Maxi):** Overcome internal Weaknesses by exploiting external Opportunities (e.g., forming a joint venture to acquire missing technology).
- **3. ST Strategies (Maxi-Mini):** Use internal Strengths to avoid or reduce the impact of external Threats (Diversification / Defense).
- **4. WT Strategies (Mini-Mini):** Defensive tactics directed at reducing internal Weaknesses and avoiding external Threats (Turnaround, Divestment, or Liquidation).

UNIT 3: STRATEGY FORMULATION & STRATEGIC CHOICE (12 Lecture Hours)

3.1 Concept & Importance of Strategy Formulation

• **Concept:** Strategy formulation (often called strategic planning) is the analytical and creative phase of strategic management in which top managers synthesize the results of external (ETOP) and internal (SAP) environmental analysis to generate, evaluate, and select the best long-term Corporate, Business (SBU), and Functional strategies to achieve the organization's mission and objectives.

• **Importance of Strategy Formulation:**

• **1. Translates Analysis into Actionable Direction:** Bridges the gap between where the firm is today and where its Vision wants it to be.

• **2. Evaluates Multiple Strategic Options Objectively:** Prevents knee-jerk decisions by systematically comparing Stability, Growth, and Retrenchment alternatives.

• **3. Balances Corporate Portfolio Risk & Cash Flow:** Uses portfolio matrices (BCG, GE, Hofer) to ensure cash-generating mature units fund high-growth future winners.

• **4. Aligns Corporate, Business, and Functional Levels:** Ensures every department's tactics reinforce the business unit's competitive advantage.

3.2 Strategic Alternatives at the Corporate Level (Grand Strategies — Glueck's Classification)

A. Stability Strategy (Maintaining the Current Scope and Pace)

A firm pursues a **Stability Strategy** when it is satisfied with its current performance, operates in a stable/mature environment with low threats, and continues serving the same customer groups with the same products and technologies:

• **1. No-Change Strategy:** Continuing present operations and policies without any significant modification because the external environment is predictable and the firm's niche is secure.

• **2. Pause / Proceed-with-Caution Strategy:** A temporary "breathing spell" or consolidation phase adopted after a period of rapid, exhausting expansion (e.g., after a major merger or capacity doubling) to allow organizational systems and management to digest growth before making the next big move.

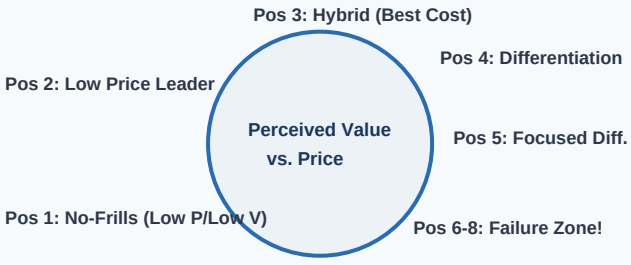
• **3. Profit (Harvesting) Strategy:** When a firm faces a temporary economic slump, it artificially maintains short-term net profits by deferring R&D;, advertising, maintenance, and capital replacements. (Dangerous if prolonged!).

B. Growth / Expansion Strategy (Directions for Strategy Development)

FIGURE 3.1: ANSOFF'S PRODUCT-MARKET MATRIX (2x2)

1. MARKET PENETRATION (Existing Prod + Existing Mkt) **Lowest Risk; Boost Share**	**2. PRODUCT DEVELOPMENT** (New Product + Existing Mkt) **R&D, New Features/Models**
3. MARKET DEVELOPMENT (Existing Prod + New Market) **New Provinces / Exports**	**4. DIVERSIFICATION** (New Product + New Market) **Related vs. Unrelated**

FIGURE 3.2: BOWMAN'S STRATEGIC CLOCK (8 POSITIONS)



1. Concentration / Intensive Growth Strategies (Igor Ansoff's Product-Market Matrix):

• **(i) Market Penetration (Existing Products in Existing Markets):** Increasing sales and market share of current products in current markets by (a) encouraging existing customers to buy more frequently or in larger quantities, (b) attracting competitors' customers via aggressive promotion/price cuts, or (c) converting non-users into users. *Example: Ncell or NTC offering data-pack bonuses to boost mobile data usage among existing subscribers.*

• **(ii) Market Development (Existing Products in New Markets):** Selling current products into new geographical areas (new provinces, rural districts, or foreign export markets) or new demographic/institutional buyer segments.

Example: Goldstar Shoes or Wai Wai Noodles expanding exports into India, Bhutan, and the Middle East.
• **(iii) Product Development (New/Modified Products in Existing Markets):** Developing new products, new features, or next-generation models for existing customers through R&D; and product engineering. *Example: Dairy Development Corporation (DDC) or Sujal Dairy launching probiotic yogurt, flavored milk, and cheese cubes for its existing urban customer base.*

2. Integration Strategies (Vertical & Horizontal Integration):
• **(i) Backward Vertical Integration:** Gaining ownership or control over a firm's suppliers (moving upstream toward raw materials) to ensure reliable supply, quality control, and capture supplier margins. *Example: A Nepalese cement manufacturer acquiring its own limestone quarry and clinker plant, or a poultry feed company setting up its own maize/soybean contract farms.*
• **(ii) Forward Vertical Integration:** Gaining ownership or control over distributors or retailers (moving downstream toward final consumers) to control pricing, brand image, and customer experience. *Example: Apple opening Apple Retail Stores, or Bhatbhateni / footwear brands opening company-owned flagship showrooms.*
• **(iii) Horizontal Integration:** Acquiring or merging with one or more direct competitors operating at the same stage of the industry value chain to increase market share, achieve economies of scale, and eliminate rivalry. *Example: Global IME Bank merging with Bank of Kathmandu, or Nabil Bank acquiring Nepal Bangladesh Bank.*

3. Diversification Strategies (Entering New Products AND New Markets):
• **(i) Related (Concentric) Diversification:** Expanding into a new business that shares meaningful strategic fit and value-chain linkages (common technology, R&D;, distribution channels, or brand name) with the existing business—generating **synergy (2 + 2 = 5)**. *Example: Apple expanding from Mac computers into iPod, iPhone, iPad, and Apple Watch; or Pathao expanding from bike ride-sharing into car taxis, food delivery (Pathao Food), and parcel delivery.*
• **(ii) Unrelated (Conglomerate) Diversification:** Expanding into an entirely new industry that has no technological, product, or market commonality with the firm's current business, primarily to spread financial risk across cyclical industries or exploit undervalued acquisition targets. *Example: IME Group or Chaudhary Group operating across banking, hydro-power, cement, hospitality, telecom, and FMCG.*

C. Retrenchment (Defensive) & Combination Strategies

1. Retrenchment / Defensive Strategies (Adopted when performance is declining or survival is threatened):
• **(i) Turnaround Strategy ("Surgical Restructuring"):** Reversing a failing firm's losses through four actions: (a) *Cost reduction* (slashing overhead, freezing hiring, reducing waste), (b) *Asset reduction* (selling idle land/vehicles), (c) *Revenue generation* (pushing high-margin products, collecting receivables), and (d) *Leadership replacement*.
• **(ii) Divestment (Divestiture / Spin-Off) Strategy:** Selling off, closing, or spinning off a major division or SBU that is chronically unprofitable, requires too much capital, or no longer fits the firm's core strategy (e.g., selling a "Dog" or failed "Question Mark" SBU to raise cash for core businesses).
• **(iii) Liquidation Strategy:** The strategy of last resort—admitting defeat, shutting down the entire company, and selling off all tangible assets piecemeal to pay creditors (because the firm is worth more dead than alive).

2. Combination Strategy: Simultaneously applying different grand strategies across different SBUs (e.g., divesting a loss-making textile unit while aggressively expanding a profitable hydropower unit).

3.3 Strategic Alternatives at the Business (SBU) Level: Porter's Generic Strategies & Bowman's Strategic Clock

Generic Strategy	Competitive Scope & Basis of Advantage	How It Is Achieved (Value Chain Actions)	Major Risks / Pitfalls
1. Overall Cost Leadership	**Broad Market + Lowest Cost:** Producing standardized goods/services at a lower unit cost than all rivals.	Economies of scale, learning curve, tight cost/overhead control, process automation, bulk procurement, no-frills design.	Technological change may make low-cost plant obsolete; rivals may imitate; price cuts may erode quality.

Generic Strategy	Competitive Scope & Basis of Advantage	How It Is Achieved (Value Chain Actions)	Major Risks / Pitfalls
2. Broad Differentiation	**Broad Market + Unique Value:** Offering unique attributes valued by buyers so the firm charges a **premium price**.	Superior R&D;/innovation, iconic design (Apple), brand image (Nike/Adidas), durability, or rapid customer service.	Price premium becomes too high so buyers switch to cheap imitations; uniqueness is copied by rivals.
3. Focus (Cost Focus or Diff. Focus)	**Narrow Market Niche:** Serving a specific buyer group, product segment, or geographic region better than broad rivals.	Tailoring every value-chain activity exclusively to the specialized needs of the niche (e.g., Ferrari, luxury mountain resorts).	Niche demand may shrink; broad-market competitors may invade the niche.

• **Cliff Bowman's Strategic Clock (8 Market-Facing Generic Strategies):**
Expands Porter's model by plotting 8 positions around a clock face based on **Price (X-axis)** and **Perceived Added Value (Y-axis)**:
• **Position 1 (Low Price / Low Added Value — "No-Frills"):** Segment-specific bargain offer (e.g., budget airlines like Ryanair/IndiGo; local unbranded goods).
• **Position 2 (Low Price):** Offering standard perceived value at a lower price than competitors (Cost Leadership).
• **Position 3 (Hybrid / Best-Cost Provider):** Simultaneously offering higher perceived value at a moderate/low price (e.g., Toyota, Xiaomi, Xtep sportswear in Nepal).
• **Position 4 (Differentiation):** Offering high perceived value (quality, branding, features) either with or without a moderate price premium (e.g., Samsung, Adidas).
• **Position 5 (Focused Differentiation):** Offering very high perceived luxury/prestige value at a high premium price to a select segment (e.g., Rolex, Apple iPhone Pro Max).
• **Positions 6, 7 & 8 (Failure / Non-Viable Strategies):** Charging high/standard prices while delivering low perceived value—leads to rapid loss of market share unless protected by an artificial monopoly.

3.4 Functional-Level Strategies (Marketing, Finance, Operations, HRM & R&D; — 2/5-Mark Favourite)

Functional Area	Key Strategic Decisions & Sub-Strategies	Practical Examples
1. Marketing Strategy	Target market segmentation & positioning (STP); Product mix & branding; Pricing (skimming vs. penetration vs. value-based); Distribution channel selection; Integrated promotion & CRM.	Positioning Xtep with brand warranty; using celebrity cricket ambassadors; expanding digital e-commerce channels.
2. Financial Strategy	Capital raising & optimal capital structure (debt vs. equity); Capital budgeting (NPV/IRR project selection); Working capital & liquidity management; Dividend payout vs. retention policy; Financial risk hedging.	Maintaining low leverage during high interest rates; using internal retained earnings for expansion.
3. Operations / Production Strategy	Plant capacity, location & layout; Process technology & automation; Just-in-Time (JIT) inventory & supply chain management; Total Quality Management (TQM / Six Sigma); Make-or-Buy (outsourcing).	Tim Cook implementing JIT inventory and outsourced Foxconn manufacturing at Apple to slash inventory holding days.
4. Human Resource (HRM) Strategy	Manpower planning, recruitment & selection; Training, upskilling & leadership development; Performance appraisal & KPI-linked compensation; Employee retention, health insurance & work-life quality.	Providing Group Health Insurance and performance bonuses to retain scarce IT engineers in a tech consultancy.
5. R&D; / Technology Strategy	Technological leadership (first-mover pioneer) vs. technological followership (fast imitator); Basic vs. applied product/process R&D; In-house R&D; vs. licensing/open innovation.	Pharmaceutical firm investing in patented drug discovery vs. generic drug manufacturer focusing on low-cost process R&D.;

3.5 Methods of Strategy Development & Portfolio Analysis Matrices (BCG, GE 9-Cell & Hofer's 15-Cell)

FIG 3.3: BCG MATRIX (2x2)

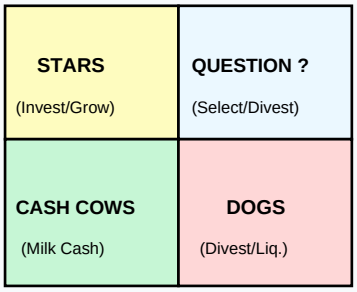


FIG 3.4: GE 9-CELL SCREEN (3x3)

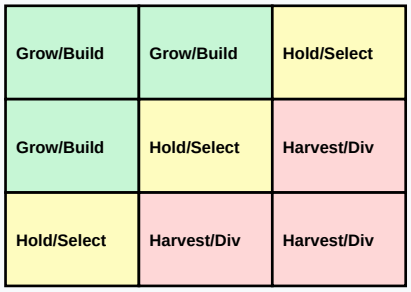
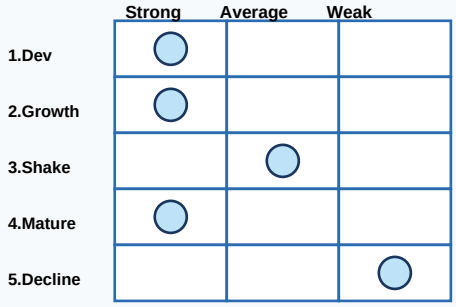


FIG 3.5: HOFER'S 15-CELL EVOLUTION MATRIX (5x3)



1. Three Methods of Strategy Development:

• **(i) Internal Development (Organic Growth):** Building new products, plants, and markets using the firm's own internal resources and R&D.; *Pros:* Preserves corporate culture, avoids overpaying acquisition premiums, spreads investment over time. *Cons:* Slow speed of market entry.

• **(ii) Mergers and Acquisitions (M&A;):** Combining two equals (Merger) or purchasing controlling ownership of another firm (Acquisition). *Pros:* Instant market entry, eliminates a rival, acquires established brands/patents. *Cons:* High takeover premium, culture clash, integration failure.

• **(iii) Joint Ventures & Strategic Alliances (Cooperative Strategies):** Two or more independent firms pooling resources via a joint venture company, licensing, franchising, or supply-chain partnership. *Pros:* Shares financial risk, combines complementary capabilities, overcomes foreign regulatory barriers.

2. In-Depth Comparison of BCG Matrix, GE Business Screen & Hofer's Matrix (10-Mark Exam Favourite):

• **(A) BCG Growth-Share Matrix (Boston Consulting Group — Bruce Henderson):**

A **2x2 (4-cell)** matrix plotting SBUs on **Market Growth Rate** (vertical axis: High/Low, indicates cash usage) and **Relative Market Share** (horizontal axis: High/Low, indicates cash generation via experience curve):

1. **Stars (High Growth, High Share):** Market leaders in fast-growing industries; generate large cash but also require heavy investment to maintain leadership -> *Strategy: Invest to Hold/Build.*
2. **Cash Cows (Low Growth, High Share):** Dominant leaders in mature industries; generate huge surplus cash flow far exceeding their reinvestment needs -> *Strategy: Milk/Harvest cash to fund Stars and selected Question Marks.*
3. **Question Marks / Problem Children (High Growth, Low Share):** Cash-hungry units with small share in fast-growing markets -> *Strategy: Invest heavily to turn into a Star, or divest before they drain cash.*
4. **Dogs (Low Growth, Low Share):** Weak market share in stagnant industries; tie up capital and earn low returns -> *Strategy: Divest, harvest, or liquidate.*

• **(B) GE Nine-Cell Business Screen (McKinsey & General Electric Matrix):**

A **3x3 (9-cell)** multi-factor matrix plotting SBUs on **Industry Attractiveness** (High, Medium, Low — weighted composite of market size, growth, profitability, Porter's 5 forces, PESTEL) and **Business Unit Competitive Strength** (Strong, Average, Weak — weighted composite of market share, brand, quality, cost, R&D;, management):

- **Green Zone (3 Top-Left Cells):** *Invest / Grow (Build)* — Allocate priority capital for expansion.
- **Yellow Zone (3 Diagonal Middle Cells):** *Hold / Selectively Invest* — Maintain position and invest cautiously where returns are clear.
- **Red Zone (3 Bottom-Right Cells):** *Harvest / Divest* — Minimize reinvestment, extract cash flow, or sell/liquidate.
- **Why GE Matrix is Superior to BCG (10-Mark Justification):** (1) Uses multi-factor weighted composite indices instead of single variables; (2) Uses a 9-cell (3x3) grid with Medium/Average categories instead of a rigid 4-cell (2x2) dichotomy; (3) Visually shows both total industry size (circle area) and SBU market share (pie slice); (4)

Works across diverse industries beyond simple volume/experience-curve manufacturing.

• **(C) Hofer's Product-Market Evolution Portfolio Matrix (Charles Hofer — 5x3 = 15 Cells):**

Plots SBUs along **5 Stages of Product-Market Evolution** on the vertical axis (*1. Development, 2. Growth, 3. Shakeout, 4. Maturity/Saturation, 5. Decline*) and **3 Competitive Positions** on the horizontal axis (*Strong, Average, Weak*).

- *Importance:* Captures the dynamic industry lifecycle (especially Development and Shakeout), diagnoses whether the company has a balanced pipeline of "Developing Winners" funded by mature "Cash Producers," and shows both industry size (circle) and market share (shaded wedge).

UNIT 4: STRATEGY IMPLEMENTATION (10 Lecture Hours)

4.1 Concept, Process & Strategy Formulation vs. Strategy Implementation

Basis of Comparison	Strategy Formulation	Strategy Implementation
1. Timing & Action	**Positioning forces BEFORE the action** (Planning).	**Managing forces DURING the action** (Execution).
2. Primary Focus	Focuses on **Effectiveness** (*'Doing the right things'*).	Focuses on **Efficiency** (*'Doing things right'*).
3. Nature of Process	Primarily an **intellectual & analytical** process.	Primarily an **operational & administrative** process.
4. Key Skills Required	Requires strong intuitive, analytical, and conceptual skills.	Requires strong leadership, motivational, and interpersonal skills.
5. Number of People	Coordinates a **few** top executives and strategists.	Coordinates and mobilizes **thousands** of managers and employees.

• **Process & Basic Requirements of Strategy Implementation:**
1. **Activating the Strategy:** Communicating strategic intent, setting annual objectives, and formulating functional policies/SOPs.
2. **Structural Implementation ("Structure Follows Strategy" — Alfred Chandler):** Designing an organizational structure that matches the strategy's complexity and scope.
3. **Resource Allocation:** Translating strategy into capital budgets, operating budgets, technology deployment, and staffing.
4. **Behavioral & Cultural Implementation:** Exercising strategic leadership, managing change, overcoming organizational politics/resistance, and aligning corporate culture and reward systems.

4.2 Organizational Structures for Strategy Implementation (Diagrams, Pros & Cons)

FIG 4.1: SBU STRUCTURE (MULTI-BUSINESS)

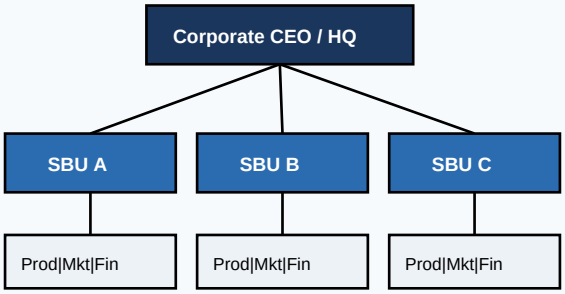
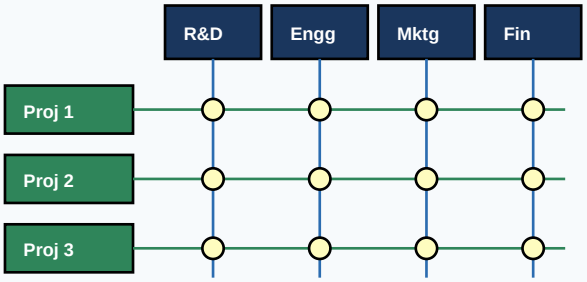


FIG 4.2: MATRIX STRUCTURE (DUAL COMMAND GRID)



Detailed Analysis of Organizational Structure Types:
• **1. Simple (Entrepreneurial) Structure:** Owner-manager directly supervises all staff with no formal departments. *Best Fit:* Small single-product startups. *Pros:* Fast, flexible, low cost. *Cons:* Overwhelms the founder as volume grows.
• **2. Functional Structure (U-Form):** Groups activities by specialized business functions (Production, Marketing, Finance, HR, R&D;). *Best Fit:* Single-business firms or dominant-product firms pursuing Cost Leadership or Differentiation. *Pros:* High functional specialization, economies of scale, clear career paths. *Cons:* Creates vertical "silos," poor horizontal coordination, slow response to multi-product diversification.
• **3. Multidivisional (Divisional / M-Form) Structure:** Organizes self-contained divisions around distinct **Products, Geographic Regions, or Customer Groups**, each with its own functional departments. *Best Fit:* Growing firms with multiple products or regions. *Pros:* Clear P&L; profit accountability per division; frees corporate HQ for long-term strategy. *Cons:* Duplication of functional resources across divisions; inter-divisional rivalry.
• **4. Strategic Business Unit (SBU) Structure:** When a large diversified corporation has too many divisions for the CEO to supervise directly, similar divisions are grouped into autonomous **Strategic Business Units (SBUs)**

headed by an SBU Vice President. *Best Fit:* Large multi-industry corporations. *Pros:* Facilitates portfolio planning (BCG/GE) and strategic coordination across related divisions. *Cons:* Adds an extra layer of executive overhead.
• **5. Matrix Structure (Dual-Command Grid):** Combines vertical **Functional Departments** with horizontal **Project / Product / Client Teams** simultaneously, so employees report to two bosses (a Functional Manager and a Project Manager). *Best Fit:* IT/consulting firms, aerospace, construction, and R&D-intensive; firms operating in complex, fast-changing environments.
- *Advantages of Matrix Structure:* (i) Optimal sharing of scarce technical specialists across projects, (ii) Breaks down functional silos and boosts cross-functional innovation, (iii) High flexibility to start or close projects quickly, (iv) Broadens middle managers' perspective.
- *Disadvantages of Matrix Structure:* (i) Violates Unity of Command (two bosses cause role conflict and confusion), (ii) Power struggles and turf wars between functional and project heads, (iii) High administrative cost and excessive coordination meetings ("decision strangulation").
• **6. Holding Company (Conglomerate) Structure:** Corporate parent holds controlling equity ownership in legally independent subsidiary companies that operate autonomously with minimal HQ staff. *Best Fit:* Unrelated (conglomerate) diversification. *Pros:* Very low corporate HQ overhead; legal liability ring-fencing; easy to buy or sell subsidiaries. *Cons:* Zero operational synergy across subsidiaries.
• **7. Project-Based, Team-Based & Network (Virtual) Structures:** Organizes work around temporary cross-functional project teams or a small central core ("hub") that outsources manufacturing, logistics, and distribution to external partner firms. *Pros:* Extreme agility, speed, and low fixed capital requirement.

4.3 Strategic Leadership & Managing Strategic Change

1. Six Core Roles & Capabilities of Strategic Leadership (Hitt, Ireland & Hoskisson):
• **(1) Determining Strategic Direction:** Articulating a clear, inspiring long-term Vision and strategic intent.
• **(2) Effectively Managing the Firm's Resource Portfolio:** Exploiting and maintaining core competencies (VRIO) and developing human capital and social capital.
• **(3) Sustaining an Effective Organizational Culture:** Shaping shared norms, entrepreneurial risk-taking, quality obsession, and customer orientation.
• **(4) Emphasizing Ethical Practices & Corporate Governance:** Instilling integrity, transparency, and regulatory compliance.
• **(5) Establishing Balanced Organizational Controls:** Implementing the **Balanced Scorecard (Kaplan & Norton)** across 4 perspectives: *Financial, Customer, Internal Business Process, and Learning & Growth*.
• **(6) Leading Strategic Change & Overcoming Resistance:** Diagnosing inertia, communicating the urgency of change (Kotter's 8 steps / Lewin's Unfreeze-Change-Refreeze), empowering champions, and aligning incentives.

UNIT 5: STRATEGIC EVALUATION AND CONTROL (7 Lecture Hours)

5.1 Concept, Importance & Types of Strategic Control (Schreyogg & Steinmann Model)

1. Concept of Strategic Evaluation and Control:
Strategic evaluation and control is the final, continuous phase of strategic management in which top managers track the strategy as it is being implemented, detect changes in the internal and external premises on which the strategy is based, evaluate whether actual performance matches strategic targets, and make necessary adjustments.
• **Why Traditional Post-Action Control Is Insufficient for Strategy:** Waiting until the end of a 5-year strategic plan to check results ("post-mortem" feedback control) is like locking the stable door after the horse has bolted. Therefore, strategic control must be **feedforward (proactive) and concurrent (steering)** as well as feedback.

2. The Four Types of Strategic Control (10-Mark / 5-Mark Exam Essential):

Type of Strategic Control	Core Purpose & Mechanism	Practical Business Example
1. Premise Control	Designed to check systematically and continuously whether the **key assumptions (premises)** about the macro-environment (inflation, interest rates, regulations) and industry made during planning are still valid.	A hydro-power developer monitoring whether NRB interest-rate and PPA tariff assumptions made in the project plan still hold true.
2. Strategic Surveillance	Broad, unfocused, open-minded **'radar scanning'** of the entire internal and external environment (via media, conferences, trade journals) to uncover unexpected emerging threats or opportunities overlooked by Premise Control.	A retail bank scanning global fintech trends and spotting generative AI chatbots or cross-border QR payment breakthroughs early.
3. Special Alert Control (Crisis Control)	The thorough, rapid, and immediate reconsideration of a firm's basic strategy triggered by a **sudden, unexpected, high-impact event or crisis**. Executed by a crisis management team.	Immediate strategic pivot during the COVID-19 lockdown, the 2015 Nepal earthquake, or Apple's emergency Town Hall response to the 2008 'MobileMess' outage.
4. Implementation Control	Assess whether the overall strategy should be changed in light of unfolding results of **incremental steps and actions** that implement the strategy. Uses two tools: • **(i) Monitoring Strategic Thrusts** (key new projects) • **(ii) Milestone Reviews** (critical time/cost checkpoints).	XTP Nepal reviewing the first 6-month sales milestone of its Kingsway showroom, realizing assortment was too narrow, and relocating the outlet to Kumaripati.

5.2 Strategic Audit, Strategic Information System (SIS) & Guidelines for Effective Control

1. Strategic Audit (Concept & Importance):

A **Strategic Audit** is a comprehensive, systematic, and objective examination of an organization's entire strategic posture—covering corporate governance, external environment, internal capabilities, corporate/business/functional strategies, implementation systems, and performance outcomes—using a standardized diagnostic checklist (developed by Wheelen & Hunger).

• *Importance:* (i) Acts as an objective 360-degree corporate health check, (ii) Detects strategic drift early, (iii) Improves board governance and resource allocation, and (iv) Institutionalizes organizational learning.

2. Strategic Information System (SIS) & Role of Information in Control:

A **Strategic Information System (SIS)** is an integrated information system (combining Enterprise Resource Planning [ERP], Point-of-Sale [POS], Customer Relationship Management [CRM], Supply Chain Management [SCM], and Executive Business Intelligence Dashboards) that directly shapes a firm's competitive strategy and provides real-time data for central strategic control across all branches and outlets.

3. Guidelines (Characteristics) for Proper Strategic Evaluation and Control:

• **1. Minimum Necessary Information (Economical):** Control systems should track critical strategic KPIs (the "vital few") without drowning managers in bureaucratic paperwork.

• **2. Meaningful & Linked to Strategic Objectives:** Metrics must directly reflect key success factors (balanced across financial, customer, process, and learning dimensions).

• **3. Timely & Future-Oriented:** Must provide early-warning signals in time for managers to take corrective action before damage occurs.

• **4. Balanced Long-Term and Short-Term View:** Must not pressure managers to sacrifice long-term R&D; or brand building just to hit quarterly profit targets.

• **5. Emphasis on Rewarding & Correcting Rather Than Punishing:** Should foster constructive problem-solving and organizational learning.

EXAM MEMORY TIP / MNEMONIC: *In any MGT 240 exam question on Strategic Evaluation & Control, always include: (1) The 6-step process, (2) The Strategic vs. Operational Control table, and (3) The 4 Types of Strategic Control (P-S-S-I: Premise, Surveillance, Special Alert, Implementation)!*

SECTION 6: MGT 240 — HIGH-YIELD EXAM QUESTION BANK & CASE-STUDY MASTER PLAYBOOK

6.1 Complete Rapid-Fire Group A (2-Mark) Definitions & Answers (Top 25 Exam Questions)

Q#	Exam Brief Question (2 Marks)	Concise Full-Marks Answer Key
1	What is Strategic Management?	The continuous process of environmental scanning, strategy formulation, implementation, and evaluation/control that enables an organization to achieve long-term objectives and competitive advantage.
2	What is an Organization's Vision?	A forward-looking declaration of what the organization aspires to become in the long-term future (5–20+ years), comprising Core Ideology and Envisioned Future (BHAG).
3	What is a Mission Statement?	An enduring statement of an organization's current purpose and scope ('Who we are, what we do, and whom we serve') that distinguishes it from similar firms.
4	Define Strategic Intent.	Coined by Hamel & Prahalad, it is an ambitious long-term obsession with winning market leadership that stretches the organization beyond its current resources.
5	Write four features of Strategic Decisions.	(1) Long-term future orientation, (2) Top-management involvement, (3) Substantial resource commitment, and (4) Matches internal capabilities with external environment.
6	What is PESTEL Analysis?	A macro-environmental scanning framework analyzing Political, Economic, Socio-Cultural, Technological, Environmental (Ecological), and Legal forces.
7	What is ETOP?	Environmental Threat and Opportunity Profile—a structured summary matrix of external analysis categorizing macro/industry trends as Opportunities (+) or Threats (-).
8	What is SAP?	Strategic Advantage Profile—a structured internal analysis table evaluating functional areas (Marketing, Finance, Operations, HR, R&D;) as Strengths (+) or Weaknesses (-).
9	Define Scenario Planning.	A strategic forecasting technique that builds 3–4 plausible alternative future narratives (optimistic, pessimistic, base) to test strategies and build contingency plans.
10	Define Hyper-Competition.	Coined by Richard D'Aveni, it is an environment of intense, rapid competitive moves where rivals quickly erode any advantage, making all competitive advantages temporary.
11	What is a Strategic Group?	A cluster of rival firms within the same industry following similar strategies along key dimensions like price, quality, and geographic scope (e.g., 5-star vs. budget hotels).
12	Threshold vs. Strategic Resources?	Threshold resources are minimum baseline assets needed merely to survive at parity; Strategic resources are rare, valuable, inimitable (VRIO) assets creating competitive advantage.
13	What is Core Competence?	A unique bundle of internal skills and technologies (Prahalad & Hamel) that provides access to multiple markets, delivers high buyer value, and is hard for rivals to imitate.
14	What is Benchmarking?	The process of measuring a firm's products, services, and processes against the toughest 'best-in-class' industry or global leaders to close performance gaps.
15	Write Ansoff's 4 Growth Directions.	(1) Market Penetration, (2) Market Development, (3) Product Development, and (4) Diversification (Related & Unrelated).

Q#	Exam Brief Question (2 Marks)	Concise Full-Marks Answer Key
16	Related vs. Unrelated Diversification?	Related diversification enters new businesses sharing common technology/markets (synergy); Unrelated (conglomerate) diversification enters completely unconnected industries.
17	What is Retrenchment Strategy?	A defensive corporate strategy adopted during financial decline to reduce operational scope and restore viability via Turnaround, Divestment, or Liquidation.
18	What does 'Stuck in the Middle' mean?	Porter's term for a firm that fails to achieve either low-cost leadership or clear differentiation, resulting in a confused positioning and below-average profitability.
19	What is Hofer's Matrix?	A 15-cell (5x3) portfolio matrix plotting SBUs across 5 stages of Product-Market Evolution (Development, Growth, Shakeout, Maturity, Decline) and 3 Competitive Positions.
20	What are the SFA Choice Criteria?	Johnson & Scholes's three criteria for evaluating and selecting a strategy: (1) Suitability, (2) Feasibility, and (3) Acceptability (Return, Risk, Stakeholder reactions).
21	What is a Matrix Structure?	A dual-authority organizational structure combining vertical functional departments with horizontal project/product teams, where employees report to two bosses.
22	What is Strategic Leadership?	The ability to anticipate, envision, maintain flexibility, and empower others to create strategic change and execute strategy effectively across the organization.
23	What is a Strategic Audit?	A comprehensive, systematic, and objective diagnostic review of all aspects of an organization's strategic management process using a standardized checklist.
24	List the 4 Types of Strategic Control.	(1) Premise Control, (2) Strategic Surveillance, (3) Special Alert Control, and (4) Implementation Control.
25	Four ways to reduce production cost?	(1) Economies of scale & experience curve, (2) Process automation/lean manufacturing, (3) Just-in-Time (JIT) inventory & bulk procurement, (4) Value engineering.

6.2 Master Guide to Group B & C Analytical Questions & Group D Case Studies

1. Model Analytical Answer Structure: How to Write 5-Mark and 10-Mark Answers in MGT 240:

• **Introduction (3–4 lines):** Start with a crisp definition of the concept and name the scholar/author (e.g., *Michael Porter, Igor Ansoff, Jay Barney, Prahalad & Hamel, Chandler, Collins & Porras, Charles Hofer*).

• **Visual Diagram / Matrix / Table:** Always sketch a clean box diagram or comparison table (even when not explicitly asked!). Diagrams immediately distinguish an A+ paper from an average paper.

• **Numbered Analytical Points with Bold Headings:** Write 5–6 points for a 5-mark question and 7–8 points for a 10-mark question, giving a brief Nepalese or global corporate example under each point.

• **Brief Conclusion (2 lines):** Summarize how the tool/concept contributes to sustainable competitive advantage.

2. Step-by-Step Playbook for Solving Group D Comprehensive Case Studies (20 Marks):

In TU BBA 8th Semester exams, the 20-mark Case Study in MGT 240 typically presents a real or realistic company facing competitive, structural, and operational challenges (such as *XTP Nepal / Xtep Footwear* or *Apple Inc. / MobileMe*). Use the following 4-part template:

• **Template 1 — When Asked for Industry / External Environment Analysis:**

- Apply **Porter's Five Forces Model** systematically:

1. *Intensity of Rivalry:* Name the specific competitors mentioned in the case (e.g., Adidas, Anta, Li-Ning, Rainbow) and their outlet counts/tactics.

2. *Threat of Substitutes / Counterfeits:* Highlight local unbranded copies or alternative products mentioned in the case.
3. *Bargaining Power of Suppliers / Brand Principal:* Highlight strict targets, reporting mandates, or supply constraints from the parent brand/supplier.
4. *Bargaining Power of Buyers:* Discuss customer price sensitivity, demand for wide assortment/warranty, and low switching costs.
5. *Threat of New Entrants & Macro Trends (PESTEL):* Mention youth demographics, sports culture, or import/regulatory hurdles.

• **Template 2 — When Asked to Formulate Corporate, Business (Generic), or Functional Strategies:**

- **Business-Level Generic Strategy:** Recommend **Broad Differentiation**, **Best-Cost Provider (Hybrid Position 3 on Strategic Clock)**, or **Focused Differentiation**. Explain how to differentiate (e.g., offering full product assortment of shoes + apparel, brand authenticity warranty, celebrity endorsements, and prime youth locations).
- **Corporate-Level Strategy:** Recommend **Market Penetration**, **Market Development** (expanding to new cities/provinces), or **Related Diversification** (expanding from hardware into digital ecosystem services).
- **Pricing & Operations Strategy:** Identify whether the firm uses **Value-Based / Skimming Pricing** ("Value Leader, not Price Leader" like Apple) or **Just-in-Time (JIT) Supply Chain Optimization** (like Tim Cook at Apple).

• **Template 3 — When Asked to Recommend an Organizational Structure:**

- Diagnose the structural flaw in the case (e.g., founders overloaded with both wholesale and retail, language/reporting bottleneck with foreign HQ, or functional silos).
- Recommend a specific structure—such as a **Divisional / SBU Structure** (separating Wholesale from Branded Retail) or a **Functional Structure with a Dedicated International Liaison & Strategic Planning Unit**—and sketch a small organization chart showing the CEO, Divisional Heads, and Functional Managers.

• **Template 4 — When Asked for Strategic Control & Strategic Information Systems (SIS):**

- Recommend an integrated **Retail ERP & Strategic Information System** with four modules:

1. *Centralized Point-of-Sale (POS) & Real-Time Barcode Inventory System* (tracks fast/slow-moving SKUs across all outlets and prevents stockouts).
2. *Automated Financial & Management Information System (MIS Dashboard)* (generates quarterly business plans and variance reports for HQ).
3. *Customer Relationship Management (CRM) & Warranty Tracking System* (builds customer loyalty).
4. *Supply Chain & Procurement Portal (SCM)* (links outlet demand forecasts directly to factory ordering).

6.3 Complete Worked Solutions to Top Group B, C & D Exam Questions (With Figures & Examples)

Model Q1: Sample Strategic Advantage Profile (SAP) & Environmental Threat and Opportunity Profile (ETOP) for a Nepalese Commercial Bank (e.g., Nabil Bank / Global IME Bank)

Internal Capability Area (SAP)	Rating (+ / - / 0)	Detailed Strategic Justification & Competitive Impact
1. Capital Base & Financial Strength	**+ (Major Strength)**	Post-merger paid-up capital exceeding Rs 27–35 Billion gives the highest single-obligor lending capacity for large hydropower and infrastructure syndications.
2. Branch & Digital Distribution Network	**+ (Strength)**	300+ nationwide branches, 400+ ATMs, and market-leading mobile banking app (nBank / Global Smart Plus) with over 1.5 million active digital users.
3. Brand Equity & Customer Trust	**+ (Strength)**	Four decades of corporate heritage, strong corporate governance, and top credit ratings attract low-cost CASA (Current & Savings Account) deposits.

Internal Capability Area (SAP)	Rating (+ / - / 0)	Detailed Strategic Justification & Competitive Impact
4. Asset Quality & Non-Performing Loans (NPL)	**- (Weakness)**	Economic slowdown in construction, SME, and real estate sectors has pushed industry NPLs toward 3.5%–4.5%, requiring higher loan-loss provisioning.
5. Post-Merger Cultural & IT Integration	**- (Weakness)**	Harmonizing staff grades, organizational cultures, and legacy branches after multiple bank mergers creates temporary operational friction.
6. Cybersecurity & Cloud Infrastructure	**0 (Neutral)**	ISO-certified data centers, but rising global phishing/ransomware threats require continuous investment in AI fraud detection.

Model Q2: SWOT / TOWS Matrix Formulation for a Nepalese Manufacturing / FMCG Firm (e.g., CG Foods — Wai Wai)

Internal / External	**INTERNAL STRENGTHS (S) • S1: Iconic brand & nationwide distribution • S2: Automated multi-province factories • S3: Strong cash flows & R&D;**	**INTERNAL WEAKNESSES (W) • W1: High dependence on imported wheat/oil • W2: Perceived as processed fast food • W3: Rising labor & logistics costs**
EXTERNAL OPPORTUNITIES (O) • O1: Growing South Asian & global diaspora demand • O2: Rising youth demand for healthy/quick snacks • O3: E-commerce & modern retail expansion	**SO Strategies (Maxi-Maxi — Aggressive Growth):** • Use S1 & S2 to expand export plants in Europe, Middle East & Africa (O1 — Market Development). • Leverage S3 to launch baked, multigrain, and high-protein noodles (O2 — Product Development).	**WO Strategies (Mini-Maxi — Developmental):** • Partner with domestic Nepalese agricultural cooperatives for contract wheat/spice farming (overcoming W1 via local supply chain). • Rebrand with fortified vitamin/mineral lines (overcoming W2 via O2).
EXTERNAL THREATS (T) • T1: Intense rivalry from Current, Rumpum, 2PM & Maggi • T2: Volatile global commodity & FX rates • T3: Stricter food-safety & plastic rules	**ST Strategies (Maxi-Mini — Defensive Leverage):** • Use nationwide distribution superiority (S1) and multi-plant scale (S2) to match competitors' spicy noodle promotions (T1). • Use financial strength (S3) to hedge commodity imports (T2).	**WT Strategies (Mini-Mini — Turnaround / Cost Control):** • Automate packaging lines and optimize fleet routing to offset rising labor/fuel costs (W3) and defend margins against price wars (T1).

Model Q3: McKinsey 7S Framework for Strategy Implementation (With Hard vs. Soft S Classification)

Developed by Tom Peters and Robert Waterman at McKinsey & Company, the **McKinsey 7S Framework** states that effective strategy implementation requires the harmonious alignment of seven interdependent internal organizational elements, grouped into **3 "Hard S's"** (tangible, easy for management to formally change) and **4 "Soft S's"** (intangible, culture- and people-driven, harder to change but critical for success):

• The 3 "Hard S" Elements (Formal & Structural):

1. **Strategy:** The coherent action plan formulated to build and sustain competitive advantage over rivals.
2. **Structure:** The organizational chart, hierarchy, division of labor, and reporting lines (Functional, Divisional, SBU, Matrix).
3. **Systems:** The formal daily procedures, ERP/information systems, capital budgeting routines, performance appraisal, and reward systems that keep the organization running.

• The 4 "Soft S" Elements (Cultural & Human):

4. **Shared Values (Superordinate Goals — At the Center of the 7S Model):** The core beliefs, ethical norms, and corporate culture that bind all six other S's together.
5. **Style (Leadership Style):** How top executives behave, allocate their time, communicate, and lead (participative, transformational, or autocratic).
6. **Staff:** The organization's human resources—demographics, recruitment, socialization, morale, and career progression.
7. **Skills:** The distinctive capabilities and core competencies possessed by the organization's personnel as a whole.

Model Q4: Balanced Scorecard (BSC — Kaplan & Norton) in Strategic Evaluation and Control

Balanced Scorecard Perspective	Core Strategic Question	Key Performance Indicators (KPIs) & Targets	Strategic Purpose
1. Financial Perspective	*'To succeed financially, how should we appear to our shareholders?'*	Return on Equity (ROE), Return on Assets (ROA), Economic Value Added (EVA), Revenue Growth %, Operating Margin.	Measures lag outcomes of past strategic actions.
2. Customer Perspective	*'To achieve our vision, how should we appear to our customers?'*	Customer Satisfaction Index, Net Promoter Score (NPS), Customer Retention Rate, Market Share %, On-Time Delivery.	Measures value proposition delivery in target segments.
3. Internal Business Process Perspective	*'To satisfy shareholders and customers, what business processes must we excel at?'*	Manufacturing Cycle Time, Defect Rate (Six Sigma), Inventory Turnover, Cost per Unit, New Product Launch Speed.	Focuses on critical value-chain operations & innovation.
4. Learning & Growth Perspective	*'To achieve our vision, how will we sustain our ability to change and improve?'*	Employee Training Hours per Year, Employee Turnover Rate, Revenue from New Products, IT/Digital System Readiness.	Leading indicator of future long-term capability renewal.

Model Q5: Blue Ocean Strategy vs. Red Ocean Strategy (Chan Kim & Renee Mauborgne)

Dimension	Red Ocean Strategy (Conventional Competition)	Blue Ocean Strategy (Value Innovation)
1. Market Space	Compete in **existing market space** with known boundaries.	Create **uncontested new market space**.
2. Attitude Toward Competition	Focus on **beating the competition** head-to-head.	Make the **competition irrelevant**.
3. Demand Approach	Exploit and fight over existing customer demand.	Create and capture **new demand** (convert non-customers).
4. Value-Cost Trade-Off	Accept the value-cost trade-off (choose EITHER Differentiation OR Low Cost).	Break the value-cost trade-off—pursue **Differentiation AND Low Cost simultaneously (Value Innovation)** via the ERRC Grid (Eliminate, Reduce, Raise, Create).
5. Real-World Example	Traditional circus competing with animal acts & star performers; legacy airlines.	*Cirque du Soleil* (eliminated expensive animal acts, added theatrical storyline for adults); Nintendo Wii; Pathao/Tootle creating app ride-sharing in Nepal.

Model Q6: Why Strategies Fail During Implementation & How to Prevent Implementation Failure

Studies by Fortune and Harvard Business Review show that up to 70%–90% of formulated strategies fail during execution.

Major Causes of Strategy Implementation Failure:

• **1. Poor Communication & Lack of Shared Understanding:** Less than 5% of frontline employees understand the corporate strategy when top management keeps plans locked in the boardroom.

• **2. Structural Mismatch:** Trying to execute a new diversification or innovation strategy through a rigid, outdated functional hierarchy.

• **3. Failure to Link Budgets and Incentives to Strategy:** Annual capital budgets and employee bonus schemes remain tied to old operational routines rather than new strategic KPIs.

• **4. Cultural Resistance & Organizational Politics:** Deep-seated habits, fear of the unknown, and departmental turf wars sabotage change.

• **5. Lack of Top-Management Follow-Through:** Senior executives treat strategy formulation as the finish line and delegate implementation entirely to lower levels without leadership support.

Remedies to Ensure Successful Implementation:

• Translate the strategy into a clear **Balanced Scorecard & Action Plan** with department-level milestones; align **Structure, Culture, Budgets, and Rewards** with the strategy; and conduct regular **Implementation Control reviews**.